HgCapital Trust plc: £250m NAV facility against 12 Hg fund interests

As of 11 November 2026 · Borrowing base: NAV at 30 September 2026 (Q3 report, published 5 November 2026) · Manager: Hg · SONIA 3.98%

APPROVE

£250m five-year senior secured term loan at SONIA + 6.25% (range 5.75–6.75%) and a 1.5% fee, an all-in yield of 10.5%, pari passu with HgT's £450m bank RCF. Day-one LTV is 16.4% once drawn, against a 30% covenant: fund NAV can fall 45% before it trips and 81% before a forced sale fails to repay the loan. The binding risk is HgT's £1.8bn of expected capital calls against £286m of liquidity, not the collateral. HgT has not sought this facility.

BORROWING BASE, 30 SEPTEMBER 2026 (£M)

Portfolio valuation, HgT's look-through share	3,247.1
Fund NAV facilities and subscription lines (30 June)	(522.0)
Performance-fee provision less other fund assets (derived)	(118.6)
HgT's fund interests: the collateral	**2,606.5**
Value above a 10% single-name cap (Visma, 12.9%)	(76.0)
Eligible NAV	**2,530.4**
Memo: HgT net assets (539.1p a share)	2,442.1
Memo: trust net debt (£450m RCF less £286m liquidity)	164.0

Collateral = net assets + trust net debt, derived. Fund-level debt and residual cost are from the 30 June interim report, one quarter older than the NAV. Top 10 holdings are 55.8% of value and the top 20 75.1%, the equivalent of 21 equal holdings.

PROPOSED TERMS

Facility	£250m senior secured term loan, five years; pari passu with the RCF under an intercreditor
Security	Pledge over the 12 fund interests and the distribution account
Covenant	LTV at most 30%, tested quarterly; LTV = (facility + RCF drawn − pledged cash) / eligible NAV
Cash sweep	10% of distributions up to 15% LTV; 25% to 20%; 50% to 25%; 100% above
Incurrence	No debt-funded calls or buybacks above 20% LTV; dividends stop above 25%
PIK toggle	Up to 50% of interest in years 1–2, at +0.50%
Pricing	SONIA + 6.25% (5.75–6.75%), 1.5% OID; non-call one year, then 2% and 1%

Markers: average NAV margins of 435bp at banks and 794bp at non-bank lenders in August 2026 (Corpay, via Alternative Credit Investor); HgT's own RCF at SONIA + 3.00%. 36% of 2025 primary NAV facilities closed at 10–25% LTV (Proskauer survey).

SIZING GRID, FACILITY FULLY DRAWN

Day-one LTV	10.0%	12.5%	15.0%	16.4%	20.0%	25.0%
Facility (£m)	89	152	216	250	342	469
Severe case, day-one LTV	21.6%	27.0%	32.4%	35.3%	43.2%	54.0%

The severe case stays inside the 30% covenant up to a £188m facility (13.9% LTV).

WHAT RANKS AHEAD OF THE LOAN (LOOK-THROUGH, £M)

Layer	£m	Cumulative % of EV
Portfolio-company net debt (band estimate)	1,509	31.7%
Fund NAV facilities and subscription lines	522	42.7%
HgT RCF (net) and this facility, pari passu	414	51.4%
Carry provision and HgT equity	2,311	100.0%
Look-through EV, at 22.6x LTM EBITDA	**4,756**	

Two bases: HgT reports 6.7x debt to EBITDA, value-weighted (debt about 30% of EV); aggregated by leverage band it is 7.2x. The covenant trips at 16.3x EBITDA (EV −28%); a forced sale at a 15% discount first fails to repay the loan at 11.9x (EV −48%). Only 4% of value is marked below 15x.

STRESS AT CLOSE: VALUE, LTV AND THE FIVE-YEAR PATH

Shock	EV	Equity	NAV/share	LTV drawn	Peak LTV	Opt-outs
Base	–	–	–	16.4%	18.2%	24%
EBITDA −20%	−20.0%	−29.3%	−33.6%	23.9%	20.0%	50%
Multiple −2x	−8.8%	−13.0%	−14.8%	19.0%	20.0%	36%
Multiple −3x	−13.3%	−19.4%	−22.3%	20.7%	20.0%	41%
Exits +2 years	–	–	–	16.4%	20.0%	46%
Visma −50%	–	−6.5%	−7.4%	17.1%	18.0%	30%
Severe (all four)	−30.6%	−48.4%	−58.6%	35.3%	23.2%	93%

LTV drawn = shock after the facility is spent; peak LTV = five-year path with proceeds as pledged cash; opt-outs = share of expected calls HgT skips under the 20% cap. Severe = EBITDA −20%, −3x, Visma −50% and exits +2 years. Lender IRR is 10.8–10.9% in every row, with no loss. Weakest-year interest cover: 7.2x base, 2.5x severe (1.2x without PIK). With exits delayed and no growth, the loan first loses money between a 70% and an 80% fall in fund NAV.

LOAN VERSUS PREFERRED EQUITY ON THE SAME PORTFOLIO

	Loan £250m	Preferred £652m
Claim as % of fund NAV at close	16.4%	25.0%
Base IRR / MOIC	10.8% / 1.39x	14.1% / 1.33x
Severe case IRR	10.8%	12.0%
Loss if fund NAV falls 50% / 70% / 80%	none / none / £29m	£37m / £481m / £704m

Preferred terms are assumptions: 12% compounding, 100% of distributions until repaid, then 10% to year 5; no covenant. Tails delay exits two years and assume no growth and a 30% sale discount.

KEY JUDGEMENTS

- **Equity falls faster than EV.** With debt at 32% of EV, a 20% EBITDA fall cuts portfolio equity by 29% and NAV per share by 34%; equity in the over-10x band (14% of value) falls 40%.
- **Fund-level debt takes cash first.** Fund facilities took 14% of 2025's £215m of gross realisations; HgT received £195m in cash.
- **Cash in has lagged calls.** HgT received £195m and paid £220m in 2025, then £34m against £114m in H1 2026. The incurrence cap makes it opt out (no penalty) before it borrows more.
- **What would cut the size to £188m.** Top-20 leverage above 8x, fund NAV facilities above 20% of gross value, or 2027 cash distributions below 5% of NAV. The RCF matures in September 2029 and HgT has a continuation vote in 2030.

Sources. HgCapital Trust Q3 report (30 September 2026, published 5 November 2026), Interim Report & Accounts 2026 (30 June 2026) and Annual Report & Accounts 2025; Bank of England (SONIA, 9 November 2026); Proskauer, NAV financing survey FY2025; Corpay Lender Book Report via Alternative Credit Investor (29 October 2026). Analyst assumptions (leverage per band, distribution rates, call timing, sale discounts, preferred terms) are flagged in the model.

Disclosure. Independent analysis of public information. HgT has a £450m bank RCF and has not sought this facility. Not commissioned, reviewed or endorsed by HgCapital Trust, Hg or any lender. Not investment advice. Full memo (6 pages plus appendix) and Excel model available on request.

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